

because you have paid off 20% of the total purchase price. With each additional payment you make, you build equity, until one day you own 100% of your home and no longer owe monthly payments.

Another point in favor of buying is that when you buy a home, you can sell it at a later date—and because houses typically appreciate, you can usually sell it for a higher price than you paid. So when you buy a house, you still make a monthly payment just as you do when you rent, but when you sell the house, you can get that money back and more. When you rent, you spend that money each month knowing it will never come back. There are also tax advantages to owning a home, as you can deduct many of the costs from your taxable income, like the amount of interest you pay on your mortgage and the amount you pay in property taxes. Collectively, these things lower your taxable income and save you money.

At the same time, not everything about homeownership is awesome. First, it is much more expensive. You are going to need a lot of money saved for all the up-front costs; you will have to pay property taxes and insurance every month; and you will be in charge of all the maintenance costs. When something in your house inevitably breaks, you no longer have a landlord to call and pass the problem off to. As the homeowner, you are responsible for fixing and maintaining things. Additionally, it makes relocating for a job or traveling for an extended period of time much more difficult.

People are often so eager to own a home that they purchase one before they are ready and end up being **house poor**. This means they have spent so much money on their monthly housing costs that they have nothing left over to put into savings, investments, or retirement. Remember, as you learned in the budgeting